

Accounting and Accountability

Week 2



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Key concepts

What is the accounting process?

Accounting is the process of identifying, measuring and communicating economic information about a business to a variety of users for decision-making purposes.

There are four steps in the accounting process:

Identifying: the events (transactions) that have happened in the business. These are the every-day things that happen like selling products to customers, paying wages, buying stock.

Measuring: the dollar amount (value) to record for this transaction. How much was the transaction?

Communicating: summarise all the transactions into financial statements and share them with stakeholders.

Decision-making: the accounting information is used by stakeholders to make decisions for and about the business. Due to improvements in technology over the last 20 years, this is the step that accountants focus on today.

Key concepts

What is Financial statements?

Financial statements are a summary of the accounting transactions and a snapshot of the business. The four financial statements are:

Profit and loss statement (or income statement): shows the profit.

Balance sheet (or statement of financial position): shows the assets, liabilities and equity.

Statement of changes in equity: shows how equity has changed and links to the balance sheet.

Statement of cash flows: a summary of cash in the business.

The notes to the financial statements are given after the financial statements and explain the detail of the financial statements.

The financial statements and the notes can be found in the Annual Report of a company.

Key concepts--Profit and loss statement

This is the Woolworths profit and loss statement from their 2021 Annual report.

	NOTE	2021 \$M	RESTATED ¹ 2020 \$M
Continuing operations			
Revenue from the sale of goods and services	2.1	55,694	53,080
Cost of sales		(39,366)	(37,750)
Gross profit		16,328	15,330
Other revenue		117	148
Branch expenses		(9,838)	(9,564)
Administration expenses		(3,784)	(3,888)
Earnings before interest and tax		2,823	2,026
Finance costs	2.3	(613)	(671)
Profit before income tax		2,210	1,355
Income tax expense	3.7.1	(604)	(417)
Profit for the period from continuing operations		1,606	938
Discontinued operations			
Profit for the period from discontinued operations, after tax	5.2	533	271
Profit for the period		2,139	1,209

This is also known as the income statement. This statement shows the profit of the business which is calculated as the revenues minus expenses.

The profit is always shown for a period of time, like a one year period.

Key concepts--Balance sheet

This is also known as the statement of financial position. It shows the assets, liabilities and equity of the business on a certain day of the year, usually the last day of the year. It is like taking a photo of the business, to show what the business looks like on one day.

	NOTE	2021 \$M	RESTATED ¹ 2020 \$M
Current assets			
Cash and cash equivalents	4.5.1	1,009	2,068
Trade and other receivables	3.1	649	740
Inventories		3,132	4,434
Other financial assets	3.2	19	534
Other current assets		18	16
		4,827	7,792
Assets held for sale or distribution	5.3.1	10,959	333
Total current assets		15,786	8,125
Non-current assets			
Trade and other receivables	3.1	133	154
Other financial assets	3.2	105	168
Lease assets	3.3.1	9,553	12,062
Property, plant and equipment	3.4	7,477	8,742
Intangible assets	3.5	4,671	7,717
Investments in associates		30	57
Deferred tax assets	3.7.3	1,371	1,327
Other non-current assets		110	120
Total non-current assets		23,450	30,347
Total assets		39,236	38,472

Key concepts--Balance sheet

Current liabilities			
Trade and other payables	3.8	6,467	7,508
Lease liabilities	3.3.2	1,495	1,826
Borrowings	4.6.3	119	2,027
Current tax payable		252	131
Other financial liabilities	3.2	165	84
Provisions	3.9	1,518	1,881
Other current liabilities	5.3.2	7,870	-
		17,886	13,457
Liabilities associated with assets held for distribution	5.3.1	5,231	-
Total current liabilities		23,117	13,457
Non-current liabilities			
Lease liabilities	3.3.2	10,521	12,902
Borrowings	4.6.3	2,753	1,904
Other financial liabilities	3.2	251	3
Deferred tax liabilities	3.7.3	-	204
Provisions	3.9	804	918
Other non-current liabilities		51	52
Total non-current liabilities		14,380	15,983
Total liabilities		37,497	29,440
Net assets		1,739	9,032
Equity			
Contributed equity	4.3	5,253	6,022
Reserves	4.4	(6,989)	391
Retained earnings		3,115	2,329
Equity attributable to equity holders of the parent entity		1,379	8,742
Non-controlling interests	5.4.3	360	290
Total equity		1,739	9,032

Key concepts--Statement of changes in equity

This shows how the equity in the business has changed from the beginning to the end of the year.

	ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT ENTITY					NON-CONTROLLING INTERESTS \$M	TOTAL EQUITY \$M
	SHARE CAPITAL \$M	SHARES HELD IN TRUST \$M	RESERVES \$M	RETAINED EARNINGS \$M	TOTAL \$M		
2021							
Balance at 28 June 2020	6,197	(175)	391	2,329	8,742	290	9,032
Profit for the period	-	-	-	2,074	2,074	65	2,139
Other comprehensive income/(loss) for the period, net of tax	-	-	13	(11)	2	(2)	-
Total comprehensive income for the period, net of tax	-	-	13	2,063	2,076	63	2,139
Dividends paid	-	-	-	(1,277)	(1,277)	(50)	(1,327)
Demerger distribution	(904)	-	(6,966)	-	(7,870)	-	(7,870)
Issue/(transfer) of shares to satisfy employee long-term incentive plans	-	139	(139)	-	-	-	-
Issue of shares to satisfy the dividend reinvestment plan	173	-	-	-	173	-	173
Purchase of shares by the Woolworths Employee Share Trust	-	(177)	-	-	(177)	-	(177)
Recognition of non-controlling interest from acquisition of subsidiary	-	-	-	-	-	56	56
Recognition of put option over non-controlling interest	-	-	(390)	-	(390)	-	(390)
Share-based payments expense	-	-	102	-	102	1	103
Balance at 27 June 2021	5,466	(213)	(6,989)	3,115	1,379	360	1,739

Key concepts--Statement of cash flows

This shows how the business cash has changed over the year, where cash came from and what it was spent on.

	NOTE	2021 \$M	2020 \$M
Cash flows from operating activities			
Receipts from customers		72,688	68,898
Payments to suppliers and employees		(66,526)	(62,831)
Payments for the interest component of lease liabilities	3.3.4	(687)	(701)
Finance costs paid on borrowings		(113)	(155)
Income tax paid		(738)	(650)
Net cash provided by operating activities	4.5.2	4,624	4,561
Cash flows from investing activities			
Proceeds and advances from the sale of property, plant and equipment		389	261
Payments for property, plant and equipment and intangible assets		(2,389)	(2,149)
Proceeds from the sale of subsidiaries and investments, net of cash disposed		19	34
Payments for the purchase of businesses, net of cash acquired		(209)	(81)
Payments for the purchase of investments		(35)	(10)
Proceeds from/(net advances) to related parties		12	(4)
Dividends received		13	4
Net cash used in investing activities		(2,200)	(1,945)
Cash flows from financing activities			
Repayment of the principal component of lease liabilities	3.3.4	(1,158)	(1,066)
Proceeds from borrowings	4.6.3	971	1,554
Repayment of borrowings	4.6.3	(1,525)	(799)
Dividends paid	4.2	(1,104)	(1,133)
Dividends paid to non-controlling interests		(50)	(66)
Payments for shares held in trust		(177)	(102)
Net cash used in financing activities		(3,043)	(1,612)
Net (decrease)/increase in cash and cash equivalents		(619)	1,004
Effects of exchange rate changes on cash and cash equivalents		(3)	(2)
Cash and cash equivalents at start of period		2,068	1,066
Cash and cash equivalents at end of period	4.5.1	1,446	2,068

Key concepts

Who uses financial statements?

The people who use financial statements to make decisions are called stakeholders, include:

- investors
- creditors
- employees
- managers
- regulators
- customers
- suppliers

All these stakeholders are interested in the company and are impacted by what the company does. The financial statements provide information to stakeholders to help them understand the company and make decisions.

Key concepts

Methods for measuring value in accounting

Historical cost

Assets of a company are recorded at the price for which they were originally acquired. For example, if a business bought a machine for \$250,000, this asset would be entered into the accounts at its purchase price of \$250,000.

A machine was advertised for sale for \$10,000. A business purchased the machine on 1 January 2022 and negotiated to pay only \$9,000. By 30 June 2022 the demand for the machine had increased and the market value of the machine is now \$11,000. On 30 June 2022 there is \$900 of depreciation recorded for the machine.

On 30 June 2022, if using the historical cost method, what is the value of the machine?

\$10,000.

\$9,000.

\$11,000.

\$8,100.

Key concepts

Methods for measuring value in accounting

Fair value

A measure of an item's market price on a particular date in the normal course of business, hence it is sometimes called "market value". Fair value can be objectively determined at any time. It is just an estimate, upon which people may have differing views.

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On 30 June 2022, if using the fair value method, what is the value of the machine?

\$10,000.

\$9,000.

\$11,000.

\$8,100.

Key concepts

Methods for measuring value in accounting

Book value or carrying value

The cost to buy the item less any decreases in value for the wear and tear (depreciation) of using it. It can commonly be calculated as the historical cost less depreciation.

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On 30 June 2022, what is the book value of the machine?

\$10,000.

\$9,000.

\$11,000.

\$8,100.

Key concepts

Methods for measuring value in accounting

Replacement cost

The cost to a business of acquiring an asset identical to, or with the same functions, as an existing asset. It is a type of present value, because at the time of purchase, the replacement cost is equivalent to the original cost.

Net realisable value

The value of a product after subtracting the expected costs of production, transaction costs and taxes related to the sale of the item.

Present value

The value at the present time of a payment or cash flow occurring in the past or future. Measuring present value involves taking future cash flows and discounting them at an appropriate rate. It is a measurement that takes into account the changing value of money over time.

Key concepts

The people and entities interacting with businesses all around the world use accounting information to make decisions every single day. But how can businesses be compared and evaluated against each other with any level of reliability?

That comes from having a common set of accounting principles, assumptions and concepts that are the same worldwide.

- Generally Accepted Accounting Principles (GAAP)
 - Formulated by the Financial Accounting Standards Board (FASB)
- International Financial Reporting Standards (IFRS)
 - Formulated by the International Accounting Standards Board (IASB)

Key concepts--Assumptions

- **The economic entity**

The business itself (or 'entity') is separate from the owners of the business and any other businesses. The entity may only report activities on financial statements that are specifically related to their operations.

- **Going-Concern Assumption**

Entity will continue to operate for the foreseeable future.

- **Accrual basis**

a method of financial reporting that measures all business transactions in accordance with when they occur, whether that may involve cash or not.

- **Monetary measurement or measurability**

The financial statements only include transactions that can be measured reliably in accurately using a monetary unit of measurement.

- **The period assumption**

The period assumption states that a company can present useful information in shorter time periods, such as years, quarters, or months.

Key concepts--Principles of accounting

General guidelines for how to record business transactions.

- **Revenue recognition principle.**

Directs a company to recognise revenue in the period in which it is earned; revenue is not considered earned until a product or service has been provided.

- **Matching principle.**

The expense recognition principle (also referred to as the matching principle) states that we must match expenses with associated revenues in the period in which the revenues were earned.

- **Historical cost principle.**

States that virtually everything the company owns or controls (assets) must be recorded at its value at the date of acquisition.

- **Conservatism principle.**

Conservatism states that if there is uncertainty in a potential financial estimate, a company should err on the side of caution and report the most conservative amount.

Quick check

A photographer receives a deposit of \$1,000 from a customer on 1 July 2022. The photographer will take photos of the wedding on 14 June 2023. On 1 July 2023, the photographer gives the photos to the customer who then pays the rest of the money due.

When should the revenue be recorded?

1 July 2023.

14 June 2023.

I don't know.

1 July 2022.

Quick check

A company prepares a statement of profit or loss every six months which shows the profit earned during that period.

Which accounting assumption applies?

The period assumption.

Going concern.

Monetary measurement or measurability.

The economic entity.

Quick check

A large company has two different business operations that use different brand names. One is a high-end fashion label, the other is a low-cost clothing brand. They keep the accounting records of the different businesses separate.

Which accounting assumption applies?

The economic entity.

Monetary measurement or measurability.

The period assumption.

Going concern.

Quick check

A business pays six-months rent in advance, \$6,000 on 1st January 2022. The rental property will be used from 1st January 2022.

How much rent expense should be recorded for January?

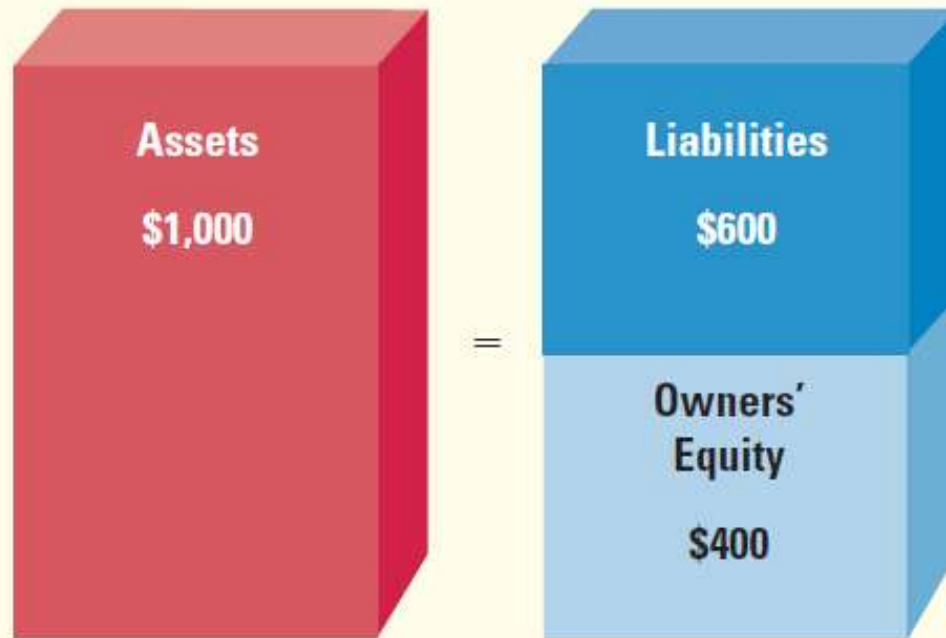
I don't know.

\$1,000.

\$6,000.

Key concepts--the accounting equation

$$\text{Assets} = \text{Liabilities} + \text{Owners' Equity}$$



Assets
\$1,000

=

Liabilities \$600
+
Owners' Equity \$400

Key concepts--the accounting equation

The financial statements are based on the accounting equation.

- **Assets**

- A present economic resource controlled by the entity as a result of past events.
- An economic resource is a right that has the potential to produce economic benefit.

- **Liabilities**

- A present obligation of the entity to transfer an economic resource as a result of past events.

- **Equity**

- Insider claims, stockholders' interest in the assets
- the residual interest in the assets of the entity after deducting all its liabilities

Key concepts--the accounting equation

- **Assets**

- Cash, accounts receivable, inventory, prepaid expenses, short-term investments, notes receivable, equipment, buildings, machinery and land.
- Assets are split into two groups, current assets which will be used up or converted to cash within 12 months or non-current assets which last for more than 12 months.

- **Liabilities**

- Owing products or services to customers. This is called unearned revenue.
- Owing salaries to staff, for the electricity bill or taxes. These could be called salary payable, accounts payable or taxes payable.
- When you borrow money you would have a bank loan or a notes payable.

Key concepts--the accounting equation

Equity

- The accounting equation can be rewritten as:
 - $\text{Assets} - \text{Liabilities} = \text{Equity}$
- It has two parts:
 - Contributed equity. In this subject we will call this share capital or share equity: this is the money or other assets invested by the owners for a share in the company.
 - Retained earnings: Earnings means profit and retained means kept. Retained earnings are the profits kept in the business. Retained earnings accumulates the profits earned and kept in the business every year.

Key concepts--the accounting equation

Practical example of the accounting equation

Felix's Fresh Flowers (FFF) has assets of \$250,000. These assets include equipment, cash and inventory used to make floral arrangements. FFF also owes the bank a loan of \$50,000.

What is the Owner's Equity for FFF?

Key concepts--Components of Retained Earnings

- **Revenues**

- Inflow of resources from delivering goods or services
- Increase retained earnings

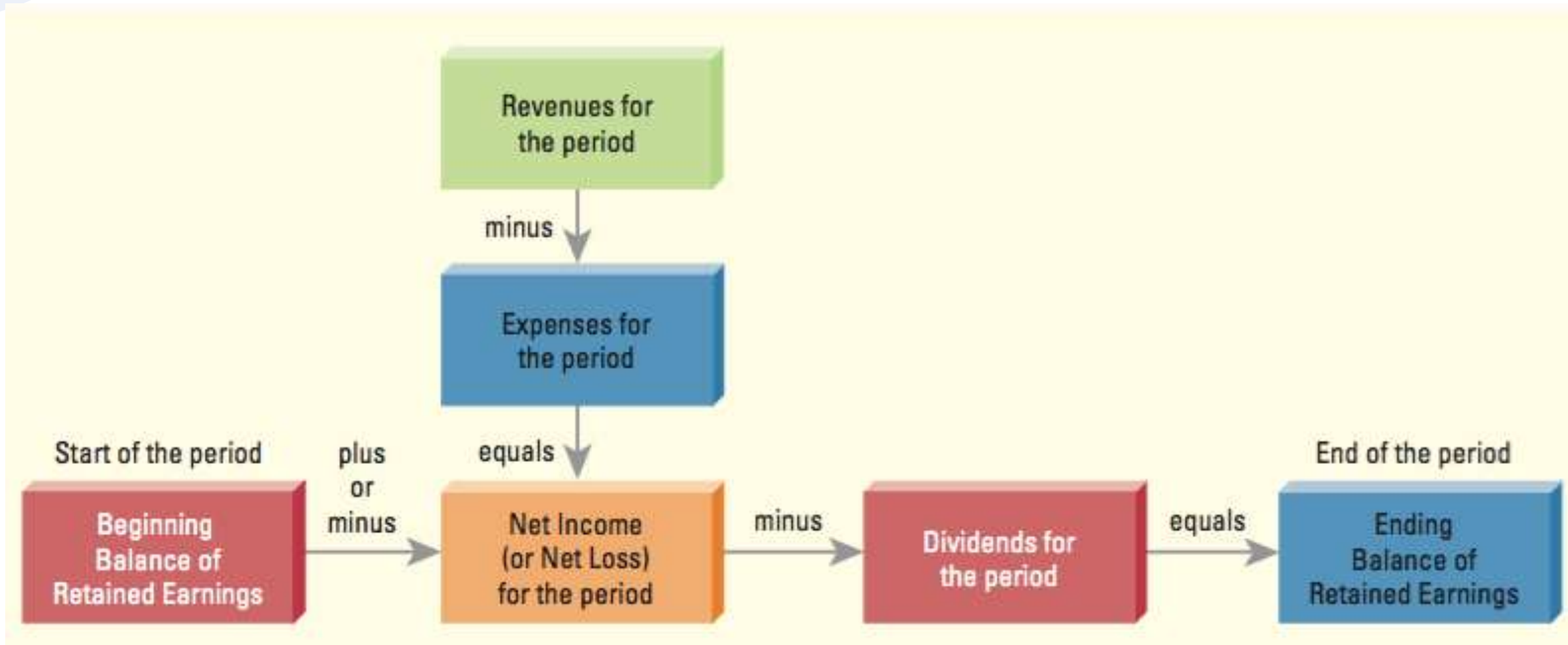
- **Expenses**

- Outflow of resources due to the cost of operations
- Decrease retained earnings

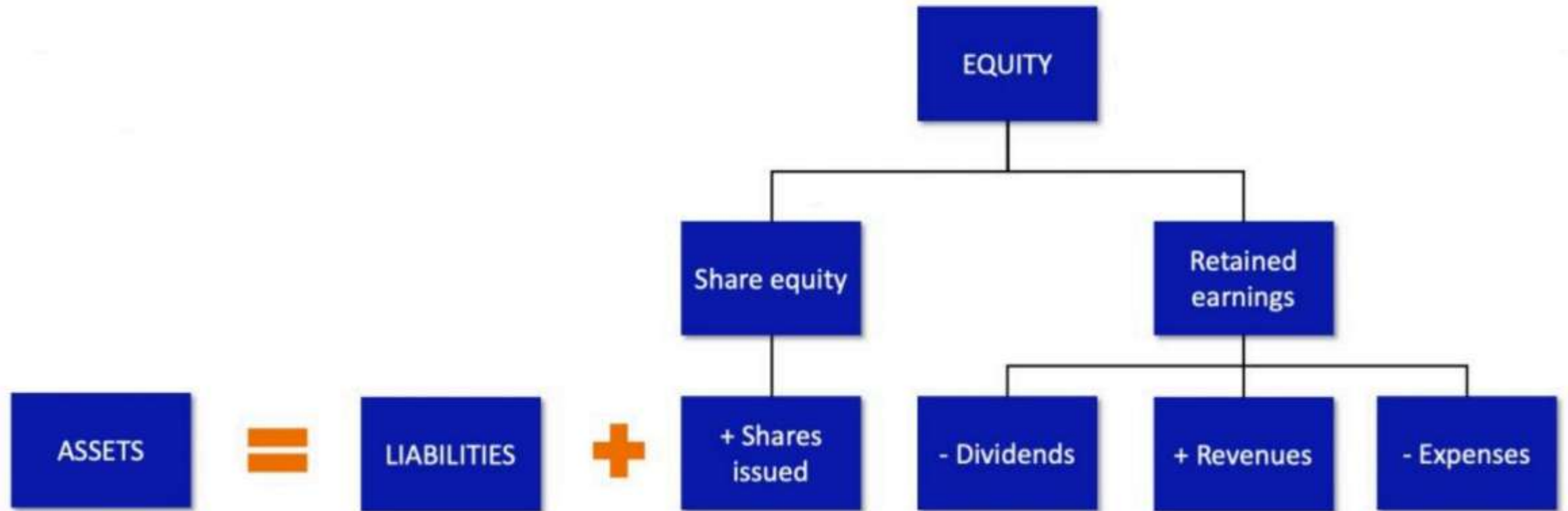
- **Dividends**

- Distribution of assets to stockholders
- Decrease retained earnings

Key concepts--The formula to calculate retained earnings



Key concepts--Expanded Accounting Equation



Quick check

Here is the business information. A business has assets of \$100,000, debts of \$50,000, sales of \$42,000 and expenses of \$20,000 and dividends of \$5,000. What is the value of share capital?

A business has assets of \$150,000, they owe \$40,000 to the bank. Their revenues are \$70,000 and they have \$30,000 in salary and rent expenses. Dividends are \$10,000. How much is the share capital?

Key concepts--Business transactions

Every day a business will have many **business transactions**, also known as **economic events**, that take place. A business transaction is anything that impacts on the accounting equation. In other words, it increases or decreases the assets, liabilities or equity of a business.

An example of a business transaction is the business selling products to customers, paying salary to staff, buying furniture or borrowing money. All of these events will impact on the accounting equation.

Every one of these economic events is recorded using the accounting equation. The rule is that the equation must always balance. For the equation to stay in balance every business transaction must have two impacts on the accounting equation. This is called **double-entry accounting**.

An **account** is the record of all the changes in a particular asset, liability, or stockholders' equity during a period.

Key concepts-- common account names

Account name	Class of account	Description
Sales revenue	Revenue	When a business sells a good or service to a customer
Cost of sales	Expense	The cost of the goods sold to a customer or services provided
Investment income	Revenue	When a business earns revenue from its investments (such as shares owned in another business)
Distribution expense	Expense	Ship/deliver goods to customers
Marketing expense	Expense	To convince customers to purchase your good or service
Occupancy expense	Expense	Anything associated with the business' main premise – rent or lease, utilities, council rates
Depreciation expense	Expense	Recognition of the use of some part of a non-current asset like a machine
Income tax expense	Expense	Taxes paid to government
Wages expense	Expense	Remunerating employees for their work in the business
Dividends	Expense	The reward due to shareholders for their investment in the business

Key concepts-- common account names

Cash	Asset	Cash held by the business in a bank account or in physical cash on the business premise
Accounts receivable	Asset	The payment a customer has promised to made for goods or services already received
Inventory	Asset	Items the business holds that they will sell in the future (to generate revenue and they will receive payment for)
Prepayments	Asset	When a business has paid an expense in advance such as insurance.
Property, plant and equipment	Asset	Historically called "fixed assets" because they were fixed into place on the warehouse floor. Items that help manufacture or support the manufacture of inventory or the provision of a good or service. This includes items like a bottling machine at a beverage business right through to office computers and printers.

Key concepts-- common account names

Accounts payable	Liability	When the business purchases a good or service and promises to pay the supplier later
Unearned revenue	Liability	When a customer pays the business in advance for services or goods to be rendered in the future.
Borrowings	Liability	The business engages in a contract to borrow funds and repay those funds over time.
Share capital – contributed capital	Equity	The net value of the firm attributed to its owners (shareholders)
Retained earnings	Equity	A place to hold the profits (or losses) the business made during the year

Example 1

Transaction 1:

Issues \$20,000 of share equity for cash.

Analysis: The business has received cash resulting in an increase in the assets. In exchange for the cash, the business has issued shares, thereby increasing equity (and the overall value of the business).

Assets	=	Liabilities	+	Equity
Cash + \$20,000				Share equity + \$20,000

Example 1

Transaction 2:

Purchases computer equipment on account (to be paid for later) for \$3,500, payment due within the month.

Analysis: We know that the business purchased computer equipment, which is an asset. We also know that the business purchased the equipment on account, meaning it did not pay for the equipment immediately and asked for payment to be billed instead and paid later. Since the business owes money and has not yet paid, this is a liability, specifically labeled as accounts payable.

Assets	=	Liabilities	+	Equity
Equipment + \$3,500		Accounts payable \$3,500		

Example 1

Transaction 3:

Receives \$4,000 cash in advance from a customer for an app not yet developed

Analysis: We know that the business collected cash, which is an asset. This collection of \$4,000 increases assets because money is coming into the business. The business has yet to provide the app development service. According to the revenue recognition principle, the business cannot recognise that revenue until it provides the service. Therefore, the business has a liability to the customer to provide the service and must record the liability as unearned revenue.

Assets	=	Liabilities	+	Equity
Cash + \$4,000		Unearned revenue \$4,000		

Example 1

Transaction 4:

Provides \$5,500 in app development services to a customer who asks to be billed for the services.

Analysis: The customer asked to be billed for the service, meaning the customer did not pay with cash immediately. The customer owes money and has not yet paid, signaling an accounts receivable. The business did provide the services. As a result, the revenue recognition principle requires recognition as revenue, which increases equity for \$5,500.

Assets	■	Liabilities	+	Equity
Accounts Receivable + \$5,500				Revenue \$5,500

Example 1

Transaction 5:

Pays a \$300 electricity (utility) bill with cash.

Analysis: The business paid with cash, an asset. Assets are decreasing by \$300 since cash was used to pay for this utility bill. The business no longer has that money. Utility payments are generated from bills for services that were used and paid for within the accounting period, thus recognised as an expense. The expense decreases equity by \$300.

Assets	=	Liabilities	+	Equity
Cash -\$300				Expense -\$300

Example 1

Transaction 6:

Distributed \$100 cash in dividends to shareholders.

Analysis: The business paid the distribution with cash, an asset. Assets decrease by \$100 as a result. Dividends affect equity and, in this case, decrease equity by \$100.

Assets	=	Liabilities	+	Equity
Cash -\$100				Dividends -\$100

Example 1

Let's summarise the transactions and make sure the accounting equation has remained balanced. Shown are each of the transactions.

Accounting equation											
	Assets			=	Liabilities		+	Equity			
	Cash	Accounts Receivable	Equipment		Accounts Payable	Unearned Revenue		Share equity	Dividends	Revenues	Expenses
1	+20,000							+20,000			
2			+3,500		+3,500						
3	+4,000					+4,000					
4		+5,500								+5,500	
5	-300										-300
6	-100								-100		
Total	23,600	+ 5,500	+ 3,500		3,500	+ 4,000		+ 20,000	- 100	+ 5,500	- 300



Tutorial activities--Tutorial 2A

Which statement shows the assets, liabilities and equity?

- a. Profit and loss statement.
- b. Balance sheet.
- c. Statement of changes in equity.
- d. Statement of cash flows.

Which accounting principle states when expenses should be recorded?

- a. Revenue recognition principle.
- b. Matching principle.
- c. Historical cost principle.
- d. I don't know.

Tutorial activities--Tutorial 2A

If assets are \$560,000 and equity is \$234,000, how much are liabilities?

- a. \$794,000.
- b. \$560,000.
- c. \$326,000.
- d. I don't know.

The following transactions are recorded for a business. Calculate the total assets after these transactions have been recorded in the accounting equation.

The owners invested \$50,000 into the business. The business purchases equipment, paying cash of \$20,000. Services are provided to customers, collected cash of \$5,000. Rent expense of \$1,000 was paid.

- a. \$54,000.
- b. \$74,000.
- c. \$76,000.
- d. \$56,000.

Tutorial activities--Tutorial 2A

How is this transaction recorded on the accounting equation? The business issues shares for cash, \$12,000.

- a.+ Cash + Revenue
- b.+ Cash + Retained earnings
- c.+ Cash + Share capital
- d.– Cash - Share capital

How is this transaction recorded on the accounting equation? The business buys a new laptop for \$4,000.

- a.+ Cash + Laptop
- b.– Cash + Equipment
- c.– Cash – Equipment
- d.+ Cash – Equipment

Tutorial activities--Tutorial 2A

What are the key formulas and concepts for week 2? Fill in this worksheet.

Key concept	Page ref	Description, example, formula
Profit and loss statement		
Balance sheet		
Net profit		
Accounting equation		
Expanded accounting equation		
Assets		
Liabilities		
Equity		
Retained earnings formula		
Dividend		
Revenue		
Expense		

Tutorial activities--Tutorial problem 2A

**Leah starts a small digital marketing business. Record each transaction using the accounting equation.
(Download and use Excel)**

Leah deposited \$20,000 of her savings into the business bank account.

Leah buys a new laptop to use in the business paying cash, \$4000.

A new client paid \$3,000 in advance for a social media marketing campaign for February to May.

Paid January office rent, \$2,000

Created a marketing plan for a new client. Sent the client a bill for the work done, \$5,000.

Purchased some more office equipment on credit, \$2,000.

Collected the cash owing from the client in transaction 5.

Posted some social media marketing ads for a client and received \$7,000 from the client.

Received a bill for the electricity used in January of \$500. This will be paid next month.

Paid a dividend of \$2,000.

Tutorial activities--Tutorial problem 2B

Record each transaction using the accounting equation and answer the questions below.

You are a new accountant and have just started to work at Business Consulting Pty Ltd (BC), a business that provides business consulting services. BC is a small private company. The owner and CEO is a consultant who works in the business. There is a small team of consultants and project managers. Last year the business made \$150,000 profit.

Transactions during March 2024

1st March: The CEO brings you some receipts for a new television he purchased for him home, \$10,000.

2nd March A new investor (a good friend of the CEO) has contributed \$100,000 in exchange for shares in the business. The company CEO has asked you to record this as revenue for the business.

3rd March The business purchased computer equipment that was advertised for sale of \$25,000. A discount of \$2,000 was given at the time of purchase. The equipment was purchased on credit.

5th March Services are provided to a customer. The customer paid \$4,000 now and promised to pay the rest, \$12,000, in a few weeks time.

7th March Paid for facebook advertising for March of \$5,000. The marketing manager has said that in the past the facebook advertising has been a valuable ~~asset~~ that has bought many new customers. The marketing manager estimates that sales have increased by \$50,000 due to this advertising.

9th March Paid for the equipment purchased on the 3rd of March.

15th March Borrowed \$50,000. This is a one year bank loan with a 9% interest rate paid monthly on the 15th of each month.

17th March Designed a logo and an online store for a new start up for \$33,000. The start-up is short of cash and has promised to pay in the next month.

31st March Paid March salaries of \$6,000. The manager believes that all staff provide such a vital service to the running of the business that they are essential assets to the business.

31st March The interest expense for March is \$2,322. This will be paid on 15th April.

Tutorial activities--Tutorial problem 2B

Check your understanding

How much is the profit?

What story can you tell us about the business based on this accounting information? Write a few sentences about the business.

1st March: What did you record for this transaction? Which accounting assumption guides your answer?

2nd March: Explain what you recorded for this transaction and why?

3rd March: What amount did you include? Which accounting principle guides your answer.

7th March: Can the facebook advertising be shown as an asset for the business as it is helping to grow the business sales and customers?

15th March: Will the bank loan be a current or non-current liability? Why might the CEO ask you to record it as a non-current liability?

31st March: Can the salaries be recorded as an asset? Why or why not?

Tutorial problems week 2

Create a start-up business with your group, such as opening a coffee shop. Describe the operational process of your business, identify the key economic events that occur in the first month, and record their effects using the accounting equation. Using these accounting information, tell us the story of your business.

- You will work in groups (4-5 in one group) on tutorial problems.
- You will prepare a PPT and present the solution with the class in tutorial week.
- All group members need to participate and explain the solution and also answer any further questions from the class.
- Time limit: 15-20 minutes.